

tial but are reliant on imports. It may require technology tie-ups, some level of protectionism, incentives, but we need to move on items where we know future demand is going to be very high, like data centres.

Likewise, the energy situation is not sustainable. We need to shore up our oil and gas production and look at alternative sources. We have lots of coal reserves. What do we need to do there? How can we move faster on implementing the new nuclear law? How do we expedite the time taken to open a mine? Otherwise, there will be vulnerabilities. It opens massive economic opportunities once we address that.

Q: Why has private investment not increased?

A: I have a slightly different view on this. A prominent research agency looked at the balance sheets of all non-financial listed companies in India. In FY25, 20% additional assets were put on ground. Another agency said in FY26 there was a 50% increase in projects announced by the private sector. Its share in new projects is more than 70%. The data indicates that there are investments. Could they happen faster? Yes.

If the government feels that the private sector is not investing, what are the areas where it is not happening? If I was to look at it carefully, first, things slowed down a bit after the tariff shock. But they started picking up once the government's response was clear. Now with the West Asia war, it's natural to assume that many companies are seeing if they need to build more buffers. You will see a slowdown for a few months. But, if you look at the long-term trend, there's certainly an acceleration in investments.

Second, there are some sectors where cash generation or profit generation will be very high, but you may not have a commensurate increase in capex. Let's take IT services as an example. You could see companies making \$1 billion in profit after tax, or \$5-6 billion. They may not be investing \$8-10 billion. They may instead be acquiring foreign firms to gain intellectual property, market share. In such sectors, it may not be possible to have capex at a high rate, unless these companies diversify and enter other areas, which is today not rewarded by the capital markets.

But if you look at the top five to ten conglomerates, a majority has significant investments. The capex is very visible, and you can see that increasing almost every year.

I do think that the approvals process must be faster. If that happens, we will see a further acceleration in investments. However, since there is so much of uncertainty, and given the Indian entrepreneurial

mindset, they also want to be slightly conservative because if something goes wrong, you may lose complete control of your business. At some level, conservatism has crept in, which is probably good for the longer term.

Q: Is there also a generational problem with Indian capitalism? A gen-next that really doesn't want to get its hands dirty and would rather manage the family office?

A: In some instances that may well be the case. But I am sure most of them are smart enough to realise that one of the reasons valuations are high here is because of the anticipation that India will grow faster than other large economies. For that to happen, you either invest significantly more in R&D to innovate at a very rapid pace and capture markets or you increase capex

“The government has to manage the fiscal balance. They don't want to expose the fisc because it could come back to hurt us as interest costs and other prices rise”

to expand capacity to address domestic needs. Most firms in India are following the latter path. There will be enough businesses, multi-generational or first-generation, that will make the most of the opportunities.

Besides, it's not that easy to invest outside India. Most of family offices are largely investing in India.

Q: Is it time for India to take stock of the critical import dependencies and prepare a strategy to mitigate them?

A: Outside of AI, this has to be our biggest focus. In some ways it's reflected in the currency movement. It means we are not creating enough value in the economy. We are importing a lot more than what we should be doing.

It comes down to looking at alternative energy sources, whether that's solar, wind, compressed biogas, nuclear, or coal gasification. There are lots of options and they require policy changes, incentives. **BT**

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